Part 1 — Break It, Then Fix It

Question asked

"What's the base salary and variable bonus percentage for an L1 Junior Software Developer here?"

First answer (no context)

"At standard tech companies in India, an entry-level Junior Software Developer (L1) typically receives a base salary ranging between ₹3.5 Lakhs and ₹5.5 Lakhs per year, with a variable bonus percentage hovering between 5% and 10% based on annual performance reviews."

Your fact-sheet

"At our company, an entry-level Junior Software Developer (L1) receives a fixed base salary of ₹5,20,000 per year. The variable bonus is set at a strict 10% target (₹52,000 per year) based on individual and team performance metrics. Including retirement benefits, total target cash compensation comes to ₹6,50,000 CTC per year."

Second answer (with context)

"Based on your company's pay structure, an L1 Junior Software Developer receives a fixed base salary of ₹5,20,000 per year. The variable bonus is target-set at 10% of base salary (₹52,000 per year), bringing total target compensation to ₹6,50,000 CTC annually including benefits."

What changed, and why

In the first answer, the LLM had no access to our private internal pay bands, so it generated a generic market guess based on external training data. Once provided with the 3-sentence fact-sheet context, the model stopped relying on statistical guesswork and extracted the exact base pay and bonus percentage provided in the note.

Part 2 — Short-Answer Questions

1. In your own words, explain why an LLM can state something false with total confidence.

An LLM does not possess a mechanism to check facts or verify real-world truth; it is a statistical pattern matcher trained to predict the most probable sequence of words. Because confident and authoritative language is heavily present throughout its training data, the model generates fluent, convincing sentences even when the underlying figures are completely fabricated.

2. Describe one real situation in your own work where an LLM's frozen training knowledge would fail.

Asking a plain LLM to tell an incoming fresher their exact base salary, variable bonus percentage, or joining perks for this year's batch will fail because internal salary grids are private and confidential. An LLM's frozen training data has zero visibility into internal company payroll databases or recent annual appraisal updates.

3. Retrieval fixes the freshness problem — but what new risk does it introduce that a plain LLM doesn't have?

Retrieval introduces the "garbage in, garbage out" risk, where the LLM will confidently state wrong or unauthorized figures if the retriever fetches an outdated or incorrect document (such as a 2021 pay policy instead of the current 2026 band sheet). It also introduces security risks if an unauthorized employee queries the system and the retriever inadvertently pulls confidential executive compensation files.

4. Would you trust an answer more if it always cited a source, even when that source turned out to be wrong? Why or why not?

No, because a citation only proves where the information came from, not whether the source document itself is accurate or current. Trusting an answer simply because a link or source is attached creates a false sense of security, especially if the underlying document contains outdated HR guidelines or human error.

Part 3 — Apply It to Your Own Work

Your answer:

For handling internal HR inquiries regarding employee compensation—such as answering developer questions about salary bands, bonus structures, and appraisal eligibility—I would use an LLM with Retrieval (RAG) rather than an LLM alone. HR policy management requires high freshness and strict accuracy, as salary bands are updated periodically and stored securely in internal systems like Workday or Darwinbox. Relying on a plain LLM creates a severe risk of hallucinating compensation figures or bonus rules, which could lead to severe employee disputes and broken trust. Using RAG ensures the model's output is strictly grounded in our verified, current HR compensation sheets while providing full auditability through source citations.